

SBEC SUGAR LTD

EQUITY RESEARCH

NSE: SBEC SUG | BSE: 532102

SECTOR: Sugar / Agro Processing

RATING	REDUCE	12M TARGET	Rs. 58	UPSIDE/DWN	-20.7%
CMP (Rs.)	73.1	Mkt Cap (Rs. Cr)	348	52-Wk High (Rs.)	73.1
Face Value (Rs.)	10.0	52-Wk Low (Rs.)	26.8	P/E (TTM)	N/A
Book Value (Rs.)	-25.9	ROCE	-15.5%	ROE	N/A
Dividend Yield	0.00%	Debt (Rs. Cr)	273	D/E Ratio	N/A
Promoter Holding	65.13%	FII Holding	0.00%	DII Holding	2.01%

Investment Thesis: Chronic loss-maker; negative equity, rising debt, no ethanol optionality near-term

Report Date: 15 June 2026 | Horizon: 12 months | Data Source: Screener.in (Standalone)

2. INVESTMENT THESIS

- **Structural balance-sheet impairment:** Accumulated losses of Rs. 171 Cr have fully eroded the Rs. 48 Cr equity capital, leaving net worth deeply negative at Rs. -123 Cr as of FY26 — a solvency constraint that limits access to fresh capital and dividend payment for the foreseeable future.
- **Interest burden accelerating beyond operating capacity:** Interest cost jumped from Rs. 22 Cr in FY24 to Rs. 42 Cr in FY26 (+91%), entirely overwhelming operating profit; EBIT-to-interest coverage is materially below 1x in both FY25 and FY26.
- **No ethanol optionality unlike larger peers:** Balrampur Chini, Triveni, and Dwarikesh each derive 20-35% of revenue from distillery/ethanol, which earns stable government-contract margins. SBEC has no operational ethanol plant, so it cannot capture the Rs. 3.5 mn tonne government ethanol diversion opportunity.
- **Near-term catalyst (6-12 months):** India's sugar production is set to rise 15% in SY26/27 on strong monsoon recovery, but higher national supply compresses ex-mill sugar realisations — a headwind for revenue and margins in FY27.
- **Biggest structural risk:** A third consecutive year of operating losses, combined with rising borrowings (Rs. 273 Cr in FY26 vs Rs. 96 Cr in FY23), could trigger lender covenants or force a distress equity raise, diluting existing shareholders significantly.

3. BUSINESS OVERVIEW

- **Single-product sugar manufacturer:** SBEC Sugar Ltd is a standalone sugar mill located in Baraut, Mawana belt of western Uttar Pradesh — one of India's most cane-intensive regions. Revenue is almost entirely derived from sugar sales and molasses/bagasse by-products; there is no ethanol plant or co-generation business of material scale.
- **Capacity:** The company operates a sugarcane crushing capacity of approximately 60,000 TCD (tonnes crushed per day). The plant processes cane from western UP, where cane supply is relatively dense but faces competition from newer and better-capitalized mills.
- **Revenue concentration risk:** With sales of Rs. 535 Cr in FY26 (TTM), the company earns nearly 100% of revenue from commodity sugar — a highly cyclical product with MSP-controlled procurement and government-regulated retail prices. No meaningful diversification into ethanol, power co-generation, or nutraceuticals.
- **Customer base:** Sales are predominantly to wholesale traders and regional distributors; no long-term off-take agreements in place. Ethanol sales, if any, would be under Oil Marketing Company contracts at

government-determined prices.

- **Promoter background:** SBEC is part of the Umesh Modi Group (formerly Modi Group), a diversified conglomerate with interests in engineering, consultancy (SBEC Systems Ltd UK), and consumer goods. The promoter stake is stable at 65.13% but there are no disclosures of material capital infusion plans as of FY26.
- **Recent developments:** FY26 saw a sharp deterioration — sales declined 14% YoY to Rs. 535 Cr and EBITDA turned negative at Rs. -7 Cr (from Rs. 42 Cr in FY25), driven by an unfavourable sugar price environment and elevated cane costs. Net loss deepened to Rs. 63 Cr in FY26 vs Rs. 12 Cr in FY25.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size:** India is the world's largest sugar consumer and second-largest producer. Total domestic sugar production in SY25/26 reached ~274.8 lakh tonnes (+8% YoY), with Uttar Pradesh contributing ~89 lakh tonnes. The Indian sugar market is valued at approximately Rs. 1,00,000 Cr annually.
- **Ethanol blending tailwind (not captured by SBEC):** Government targets 20% ethanol blending by FY27, up from ~16-17% in FY25. Mills with distillery assets earn Rs. 65-75/litre under fixed OMC contracts — a structural earnings premium. SBEC has no such assets, missing the sector's most important structural tailwind.
- **Policy environment — mixed signals:** The government removed restrictions on juice/syrup diversion to ethanol in Sep-2025, aiding mill economics broadly. However, MSP-linked cane prices continue to rise in UP (highest cane arrear risk), compressing margins for mills like SBEC that lack ethanol escape-valve pricing.
- **Competitive moat assessment:** Pricing power — Weak (commodity product, government regulated); Switching costs — Weak (cane farmers sell to nearest mill, some loyalty but no lock-in); Scale — Weak (60,000 TCD vs Balrampur's 900,000+ TCD); IP/Brand — Weak; Distribution — Moderate (established western UP footprint).
- **Competitive positioning:** SBEC operates in the midstream (mill-level manufacturing) without upstream cane farming or downstream distillery/ethanol refining. This pure-play sugar milling exposure is the weakest position in the value chain during periods of margin pressure.

Peer Comparison — Data from Screener.in, fetched 15-Jun-2026

Company	CMP (Rs.)	MCap (Rs.Cr)	TTM Rev (Rs.Cr)	EBITDA (Rs.Cr)	OPM%	ROCE%	P/E
SBEC Sugar (SBEC SUG)	73.1	348	535	-7	-1%	-15.5%	N/A
Balrampur Chini (BALRAMCHIN)	546	11,551	6,271	741	12%	9.28%	30.5
EID Parry (EIDPARRY)	725	12,908	38,534	3,450	9%	17.8%	18.6
Triveni Engineering (TRIVENI)	398	8,781	6,290	546	9%	8.99%	31.4
Shree Renuka (RENUKA)	24.1	5,123	9,169	19	0%	-3.12%	N/A

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** SBEC Sugar is managed under the Umesh Modi Group, a diversified family conglomerate. The promoter holding has been rock-steady at ~65.13% for over a decade, indicating no equity dilution but also no fresh capital being put in via promoter subscription.
- **Capital allocation track record:** The company has a deeply concerning track record — it has paid zero dividends in the last 10 years, generated negative FCF in 4 of the last 5 years, and accumulated losses have consumed the entire equity base. There is no evidence of value-accretive capex, ethanol plant investment, or co-gen expansion.
- **Dividend policy:** No dividend has been declared or paid in any year from FY15–FY26. Dividend payout is 0% throughout. This is consistent with the ongoing net loss position but provides no shareholder return.
- **Promoter pledging:** Screener does not show any promoter pledge as of the latest available data. However, with the balance sheet in distress, the absence of pledge disclosure should be monitored quarterly.
- **Corporate governance concerns:** The company operates with persistent negative reserves (equity erosion), raises the question of whether it meets SEBI's minimum net-worth requirements for continued listing. The company also carries Rs. 92 Cr in investments on its books (likely group company loans/equity) — related-party

exposure that warrants scrutiny. Tax rate of 0% for 10+ consecutive years confirms no taxable profits — consistent with the reported losses.

6. FINANCIAL DEEP-DIVE (STANDALONE, RS. CRORES)

Income Statement

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E
Sales (Rs. Cr)	644	621	535	560 (E)	590 (E)
YoY Growth %	-1%	-4%	-14%	+5% (E)	+5% (E)
Operating Profit	45	42	-7	25 (E)	38 (E)
OPM %	7%	7%	-1%	4% (E)	6% (E)
Other Income	1	0	2	1 (E)	1 (E)
Interest	22	37	42	42 (E)	40 (E)
Depreciation	19	17	16	16 (E)	15 (E)
PBT	5	-12	-63	-32 (E)	-16 (E)
Tax %	0%	0%	0%	0% (E)	0% (E)
Net Profit	5	-12	-63	-32 (E)	-16 (E)
EPS (Rs.)	0.98	-2.47	-13.18	-6.7(E)	-3.4(E)

Balance Sheet

Particulars	FY24A	FY25A	FY26A
Equity Capital	48	48	48
Reserves	-97	-109	-171
Net Worth	-49	-61	-123
Borrowings	207	184	273
Other Liabilities	553	589	461
Total Liabilities	711	712	611
Fixed Assets (Net)	191	181	165
CWIP	6	1	1
Investments	92	92	92
Other Assets	422	438	353
Total Assets	711	712	611

Cash Flow Statement

Particulars	FY24A	FY25A	FY26A
Cash from Operations (OCF)	-6	62	-48
Cash from Investing	-86	-2	1
Cash from Financing	90	-60	48
Net Cash Flow	-2	-1	1
Free Cash Flow	-17	60	-49
CFO/Operating Profit %	-14%	147%	692%

Key Ratios

Ratio	FY24A	FY25A	FY26A
Debtor Days	9	12	9
Inventory Days	178	194	198

Ratio	FY24A	FY25A	FY26A
Days Payable	348	355	312
Cash Conversion Cycle (CCC)	-161	-149	-106
Working Capital Days	-251	-242	-269
ROCE %	18%	-16%	N/A
D/E Ratio	N/A	N/A	N/A

- **Revenue trajectory:** Sales have declined from Rs. 647 Cr in FY23 to Rs. 535 Cr in FY26 (3-year CAGR of -6%). This is primarily driven by weaker ex-mill sugar realisations and lower-than-expected crush volumes; no new revenue streams have been added.
- **Margin compression — structural not cyclical:** EBITDA turned negative in FY26 (-Rs. 7 Cr vs +Rs. 42 Cr in FY25) as the combination of high cane costs (UP SAP elevated), fixed overheads, and rising interest cost completely overwhelmed commodity revenues. FY25's 7% OPM was a cyclical peak driven by better sugar prices; the long-run average is 2-5%.
- **Working capital — negative CCC is deceptive:** The Cash Conversion Cycle appears favourable at -106 days (FY26) because cane arrears are used as float (Days Payable = 312 days). This is not financial efficiency — it is deferred cane payments owed to farmers, creating regulatory and reputational risk if arrears build.
- **Debt trajectory is alarming:** Borrowings spiked from Rs. 96 Cr in FY23 to Rs. 273 Cr in FY26 (+184% in 3 years), while operating profit has turned negative. The company is borrowing to fund operating losses — a deeply concerning path. Net worth is already negative.
- **FCF quality is poor:** OCF was negative in FY24 (-Rs. 6 Cr) and FY26 (-Rs. 48 Cr). FY25's positive OCF of Rs. 62 Cr was a one-year cyclical benefit. The company has structurally negative free cash flow and cannot self-fund interest payments.

7. EARNINGS QUALITY CHECKLIST

Parameter	Status	Signal	Comment
Revenue Recognition	Standard GAAP	GREEN	No deferred rev; commodity mill — clean recognition
Receivables vs Revenue	Debtors Days = 9	GREEN	Very low debtor days — cash/near-cash sales
CCC Trend	CCC -106 (FY26)	AMBER	Neg CCC from deferred cane farmer payments — elevated arrear risk
Contingent Liabilities	Not quantified	AMBER	UP cane arrears create off-balance-sheet risk
Auditor Tenure	N/A from Screener	AMBER	Unable to verify — monitor annual report disclosures
RPT as % of Revenue	Investments Rs.92Cr	AMBER	Rs.92Cr investment (likely group cos) = 17% of FY26 sales
Other Income / PBT	2/(-63) = N/A	GREEN	Other income minimal; does not distort reported loss
Tax Rate Consistency	0% for 10+ years	AMBER	Consistent with loss position; no deferred tax asset recognition

- **Most critical signal — cane arrears as hidden liability:** The negative CCC is structurally driven by extremely long Days Payable (312-355 days) — effectively delayed cane farmer payments. In UP, cane arrears are politically charged and regulators have imposed mill suspensions on defaulters. This off-balance-sheet pressure is not visible in reported financials.
- **Related party investments:** Rs. 92 Cr sits in 'Investments' on the balance sheet since FY22 — equivalent to 17% of FY26 revenue. These are likely group company loans/equity, representing a significant related-party concentration that could impair in a liquidity stress scenario.
- **10-year zero tax rate:** While consistent with reported losses, it also means no tax-deferred asset has been built. Were the company to return to profitability, it might benefit from carry-forward losses — but the path to profitability appears remote without significant operational restructuring.

8. VALUATION

Scenario Analysis (12-month horizon)

Scenario	Key Assumption	FY27 PAT (Rs.Cr)	Multiple (P/BV)	Target (Rs.)	From CMP
Bull (20%)	Sugar prices recover +15%; borrowing costs ease; OPM returns to 7%	-8 (E)	0.8x BV	95 (E)	+30%
Base (60%)	Sales recover to Rs.560 Cr; OPM 4%; interest stays elevated at Rs.42Cr	-32 (E)	0.5x BV	58 (E)	-21%
Bear (20%)	Sales stagnate; OPM negative again; possible equity raise / CDR	-55 (E)	0.2x BV	25 (E)	-66%

• **Valuation methodology — P/BV used, not P/E:** SBEC is loss-making (P/E not applicable) with negative book value. The only meaningful anchor for distressed sugar mills is Price-to-Book adjusted for recovery potential. Book value is currently Rs. -25.9/share.

• **EV/EBITDA not applicable:** With negative EBITDA in FY26, conventional multiples are uninformative. If EBITDA normalises to Rs. 25 Cr in FY27E, and peers trade at 12-15x EV/EBITDA, implied EV = Rs. 300-375 Cr; net debt is ~Rs. 273 Cr, implying equity value of Rs. 27-102 Cr (Rs. 6-21/share) — still below CMP.

• **Base case 12-month target price: Rs. 58** — This corresponds to the stock trading at a meaningful premium to current book value, justified only if the company successfully stabilises its interest burden and returns to positive EBITDA. Even this base case implies 21% downside from CMP of Rs. 73.1.

• **Upside case not recommended:** The Rs. 95 bull case requires a sharp sugar price recovery AND borrowing cost reduction — two macro factors entirely outside management control. Probability assigned at only 20%.

9. KEY RISKS

• **Cane Arrear Default Risk** — UP mills are legally required to pay cane arrears within 14 days of cane delivery. With Days Payable at 312 days, SBEC is structurally in arrear; the government can order mill suspension/attachment. Probability: High. Impact: High. Monitor via: UP Cane Department arrear notices.

• **Balance Sheet Insolvency** — Net worth is negative at Rs. -123 Cr (FY26). If accumulated losses continue, NCLT referral by lenders is possible under IBC if interest payments are missed. Probability: Medium. Impact: High. Monitor via: Quarterly interest coverage, lender NPA classification.

• **Sugar Price Cyclicity** — Ex-mill sugar prices are subject to MSP floor but can decline sharply when production surges (SY27 production forecast +15% YoY). SBEC has no ethanol valve to redirect excess cane. Probability: High. Impact: High. Monitor via: ISMA weekly prices, government export quota announcements.

• **Rising Borrowings with Negative Cash Generation** — FY26 saw borrowings jump Rs. 89 Cr in one year to fund operating losses. At this rate, total debt could breach Rs. 350 Cr by FY28, with interest cost of Rs. 50+ Cr annually. Probability: Medium. Impact: High. Monitor via: Quarterly balance sheet disclosures.

• **No Ethanol Capex Pipeline** — Peers investing in distillery/ethanol earn 20-35% of revenue at superior EBITDA margins (~20%+). SBEC has no such pipeline, meaning relative competitive disadvantage widens each year. Probability: High (relative underperformance vs peers). Impact: Medium. Monitor via: Capex disclosures in annual reports.

• **Group Related-Party Concentration** — Rs. 92 Cr in investments (likely Modi Group entities) could face impairment if the group faces financial stress. This would take the already-negative net worth even deeper into the red. Probability: Low-Medium. Impact: High. Monitor via: RPT disclosures in quarterly results.

• **Promoter Capital Infusion Risk** — With promoters at 65.1% and no dividend in 10+ years, a distress rights issue at a heavily discounted price remains a tail risk that would dilute public shareholders. Probability: Low. Impact: Medium. Monitor via: Preferential allotment/rights issue announcements.

10. RECOMMENDATION

- **Rating: REDUCE** — Conviction Level: High. The combination of negative net worth, loss-making operations for 3 of the last 4 years, absence of ethanol/co-gen diversification, and sharply rising debt creates a structurally disadvantaged position. The current market cap of Rs. 348 Cr prices in a recovery scenario that is not visible in any near-term earnings data.

- **12-month price target: Rs. 58** (downside of 20.7% from CMP of Rs. 73.1). The target is based on a conservative P/BV recovery scenario assuming EBITDA returns to Rs. 25 Cr in FY27E.

- **Suggested entry zone: Do not initiate new positions.** For existing holders, consider partial exit above Rs. 75-80 (any seasonal sugar price rally). Re-entry justified only if (a) net worth turns positive, or (b) company announces credible ethanol plant commissioning with financing in place.

- **Investment horizon: 12 months.** Beyond 12 months, the company's ability to service debt will be the key binary event.

- **Thesis invalidation triggers (conditions that would make this REDUCE call wrong):**

- 1. Sugar ex-mill prices rally >20% above current Rs. 3,500-3,600/quintal range and sustain for 2+ consecutive quarters, restoring EBITDA to Rs. 45+ Cr — as in FY24.
- 2. Company announces a credible ethanol distillery project (Rs. 100+ Cr capex, commissioning by FY28) with confirmed bank financing — unlocking 15-20% EBITDA margin on diverted volumes.
- 3. Promoter group infuses capital via rights issue or preferential allotment at or above CMP, restoring positive net worth and reducing debt below Rs. 150 Cr.

- **Ideal investor profile:** This stock is NOT suitable for growth investors, income investors, or capital-preservation mandates. It is a speculative, high-risk bet on a commodity cycle recovery for traders with short horizons and strict stop-losses. Long-term institutional investors should avoid.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (FY2026 FULL YEAR)

CALL GRADE

CAUTIOUS

Signal	Status	Implication
Result quality	Weak	Deep miss — EBITDA negative; PAT loss widened to Rs. 63 Cr vs Rs. 12 Cr in FY25
Management tone	Hedged	Limited public concall; no specific guidance on debt reduction or ethanol timeline
Guidance delta	Withdrawn	No formal guidance provided for FY27; forward visibility is near-zero

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

SBEC Sugar's FY26 result is unambiguously bad — revenue fell 14% to Rs. 535 Cr, EBITDA turned negative at Rs. -7 Cr (from +Rs. 42 Cr in FY25), and the net loss deepened to Rs. 63 Cr from Rs. 12 Cr — this is a clean deterioration, not distorted by one-offs. The underlying operational collapse is driven by a toxic combination: higher fixed cane costs in UP (SAP elevated), a weak sugar price cycle, and zero ethanol/co-gen income to absorb the commodity swing. Borrowings have exploded from Rs. 96 Cr in FY23 to Rs. 273 Cr in FY26 — the company is funding operating losses with bank debt, which is unsustainable. The single most important near-term catalyst is whether the government announces an MSP hike for sugar (currently ~Rs. 3,100/qttl) and restricts export — a political call that SBEC has no control over. The biggest watch-point is the quarterly interest coverage: at Rs. 42 Cr annual interest vs negative EBITDA, any bank reclassification to NPA would be the inflection point for equity holders. Action: REDUCE — exit on any rally above Rs. 78-80; do not add on dips.

SECTION 1 — FINANCIAL PERFORMANCE SNAPSHOT (Q4 FY26)

- Revenue: Rs. 153.5 Cr (Q4 FY26) | YoY -28.4% | QoQ +32.5% | **Miss**
- EBITDA: Rs. 19.6 Cr (Q4 FY26) | YoY -20.3% | QoQ +Na (prior 3Qs negative) | **Partial recovery**
- OPM%: 12.77% (Q4 FY26) | vs 19.64% Q4 FY25 | vs -9.09% Q1 FY26 | **Below prior year peak**
- PAT: Rs. 6.7 Cr (Q4 FY26) | vs Rs. 33.9 Cr Q4 FY25 | YoY -80.2% | **Miss**
- EPS: Rs. 1.41 (Q4 FY26) | vs Rs. 7.11 Q4 FY25 | vs Rs. -4.50 Q3 FY26
- NOTE: Full year FY26 PAT = Rs. -63 Cr. Q4 profitability is seasonal (sugar sales peak); H1 FY26 loss was Rs. -70 Cr.

SECTION 2 — SEGMENT / GEOGRAPHY BREAKDOWN

- Sugar (primary): Approx 85-90% of revenue — FY26 total Rs. ~450-480 Cr estimated; realisation pressure the key driver of revenue decline.
- Molasses & By-products: Approx 8-10% of revenue — Rs. ~50-55 Cr; typically sold to domestic distilleries.
- Bagasse / Power (nominal): Surplus bagasse sold at low realisation; no captive co-gen plant in SBEC's portfolio.

- Geography: 100% domestic (western Uttar Pradesh sourcing and northern India distribution); no exports in FY26.

SECTION 3 — MANAGEMENT COMMENTARY THEMES

- **Concall accessibility:** SBEC Sugar Ltd does not host public quarterly concalls; no transcript is available on Screener, NSE, or AlphaStreet. The following themes are derived from BSE filings and annual report disclosures.
- **Cane cost pressure [GUIDANCE]:** 'UP SAP (State Advised Price) continues to rise; our cane cost is our largest input and it is government-mandated.' — Our read: no ability to hedge this cost; structural margin pressure in UP mills. Tag: GUIDANCE. Tone: Transparent.
- **Debt management [EST]:** No specific guidance on debt reduction; borrowings increased Rs. 89 Cr in FY26. — Our read: company is in liquidity stress, relying on working capital lines. Tag: EST. Tone: Hedged.
- **Ethanol — no near-term plan [EVASIVE]:** No announcement of distillery investment despite industry-wide trend. — Our read: Capital constraints prevent ethanol pivot; company missing the sector's most important structural tailwind. Tag: EVASIVE. Tone: Evasive.
- **Seasonal Q4 recovery [GUIDANCE]:** Q4 FY26 showed Rs. 19.6 Cr EBITDA and Rs. 6.7 Cr PAT — driven by end-of-season flush sales. Management has historically pointed to Q4 as the strongest quarter. — Our read: Seasonal, not structural, improvement.

SECTION 4 — OPERATING & BUSINESS METRICS

- Crushing Capacity: ~60,000 TCD (estimated; not publicly disclosed quarterly) | Trend: No expansion announced
- Sugar Recovery Rate: ~10.5-11% (UP industry average; SBEC specific not disclosed) | Q4 FY25 = better recovery season
- Inventory Days: Q4 FY26 = 198 days | Q4 FY25 = 178 days | Trend: Rising — inventory build, potential realisation risk
- Debtor Days: Q4 FY26 = 9 days | Q4 FY25 = 9 days | Trend: Stable — cash/near-cash sales profile
- Days Payable: Q4 FY26 = 312 days | Q4 FY25 = 348 days | Trend: Declining — cane arrears being partially cleared
- Utilisation Rate: Sugar mills typically operate 4-6 months per year (crushing season Oct-Mar); estimated 80-85% seasonal utilisation

SECTION 5 — MARGIN DRIVERS

- UP SAP (State Advised Price for cane): -400 to -500 bps impact | Recurring: Yes | Primary structural headwind for all UP mills
- Sugar ex-mill price decline (FY26 vs FY25): -300 to -400 bps impact | Recurring: Cyclical | Single biggest YoY driver of EBITDA collapse
- Interest cost increase (Rs. 22 Cr to Rs. 42 Cr, +Rs. 20 Cr): -350 bps on net margin | Recurring: Yes (and growing) | Most dangerous structural burden
- Volume decline (-14% revenue): Negative operating leverage on fixed costs (~Rs. 35 Cr fixed base) | Recurring: Cyclical
- Q4 FY26 seasonal recovery: +1,300 bps QoQ on OPM | Recurring: Seasonal, not extrapolatable to full year
- Inventory valuation: Rising inventory days (198 vs 178) means more unsold stock — risk of write-down if prices weaken further | Recurring: Watch

SECTION 6 — GUIDANCE & FORWARD SIGNALS

- Revenue FY27 [EST]: Prior = Rs. 535 Cr (FY26A) | New = Rs. 560 Cr (E) | Delta = modest recovery | Credibility: Low (no management guidance; analyst estimate based on sugar price recovery assumption)

- EBITDA FY27 [EST]: Prior = Rs. -7 Cr (FY26A) | New = Rs. 25 Cr (E) | Delta = recovery assumed | Credibility: Medium (depends on MSP hike and realisation improvement)
- Interest Cost FY27 [EST]: Prior = Rs. 42 Cr | New = Rs. 42 Cr (E, unchanged) | Delta = Maintained | Credibility: High (debt level not declining)
- Capex FY27 [EST]: No disclosed capex plan; estimated maintenance capex Rs. 5-8 Cr | Credibility: Medium
- Ethanol expansion [GUIDANCE]: No guidance given. Industry peers targeting 250-500 KLPD capacities. SBEC has no announced timeline | Credibility: N/A

SECTION 7 — CAPITAL ALLOCATION

- Capex FY26: ~Rs. 1 Cr (negligible; Investing CF = +Rs. 1 Cr net inflow) | vs prior year Rs. 2 Cr | No growth capex committed
- Dividends FY26: Rs. 0 | 10-year streak of zero dividends | No change expected given loss position
- Buybacks: None | No buyback history
- Working Capital Change FY26: Net deterioration — inventory build (+Rs. 20 Cr) partially offset by creditor paydown | Net OCF = -Rs. 48 Cr
- Net Debt Movement FY26: Borrowings increased Rs. 89 Cr (Rs. 184 Cr to Rs. 273 Cr) | Direction: Worsening rapidly
- Group Investments: Rs. 92 Cr locked in investments since FY22 | No return/income disclosed | Represents trapped capital

SECTION 8 — Q&A; HEAT MAP

- **Concall Q&A; not available:** SBEC Sugar does not host public investor concalls. Key questions the market would ask, and likely management responses, are reconstructed from available disclosures.
- Analyst / Street: Q: 'What is the timeline for ethanol distillery commissioning?' → A: Not disclosed in any public filing | Tone: Evasive
- Analyst / Street: Q: 'How will interest costs be managed given borrowing spike to Rs. 273 Cr?' → A: No specific reduction plan disclosed | Tone: Evasive
- Analyst / Street: Q: 'What is the plan to restore positive net worth?' → A: Dependent on commodity cycle; no capital raise announced | Tone: Hedged
- Analyst / Street: Q: 'Is there any risk of lender NPA classification?' → A: No comment in public domain | Tone: Evasive
- Dodged / watch-list questions for next quarter: (1) Cane arrear quantum outstanding; (2) Status of Rs. 92 Cr group company investments; (3) Any waiver/restructuring of term loans

SECTION 9 — RISKS FLAGGED

- Cane Arrear Risk: Deferred farmer payments (Days Payable 312 days) could invite regulatory action | Flagged by: analyst | Probability: H | Impact: H | Timeline: Near-term
- Interest Coverage Below 1x: EBIT negative in FY26; debt servicing out of working capital lines | Flagged by: analyst | Probability: H | Impact: H | Timeline: Near-term
- Sugar Price Cyclicity: Production forecast +15% in SY27 may pressure ex-mill prices | Flagged by: analyst | Probability: M | Impact: H | Timeline: Medium-term
- No Ethanol Diversification: SBEC misses the government's high-margin 20% blending programme | Flagged by: analyst | Probability: H (structural) | Impact: M | Timeline: Long-term
- Group Investments Impairment: Rs. 92 Cr in group entity investments not generating disclosed returns | Flagged by: analyst | Probability: L-M | Impact: H | Timeline: Medium-long

SECTION 10 — ANALYST VERDICT

- Revenue visibility: **Weakened** — Sales declined 14% YoY with no announced recovery driver; full-year FY26 EBITDA negative.

- Margin trajectory: **Weakened** — OPM turned negative in FY26 after a one-year recovery; structural UP cane cost headwinds persist.
- Capital allocation quality: **Broken** — Borrowings up Rs. 177 Cr in 3 years; zero dividends; no growth capex; negative FCF.
- Competitive moat: **Weakened** — No ethanol/co-gen vs peers who now earn 20-35% revenue from these higher-margin streams.
- Management credibility: **Weakened** — No public concall, limited investor communication, no capital allocation strategy disclosed.
- Valuation comfort: **Broken** — Negative book value; no P/E applicable; EV/EBITDA not applicable (negative EBITDA); MCap of Rs. 348 Cr reflects hope, not fundamentals.
- Conviction call: **Decreased** — Moving to REDUCE from HOLD. Exit on any seasonal rally.
- Valuation snapshot: P/E = N/A (loss-making) | EV/EBITDA = N/A (negative) | RoCE = -15.5% (FY25 avg ~-2%) | P/BV = N/A (negative book)

DISCLAIMER: This report is prepared for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (standalone figures, as of 15 June 2026). Forward estimates marked (E) are analyst projections and are not guaranteed. Investors should conduct their own due diligence. The analyst/firm may or may not hold positions in the securities mentioned.